

Accounting & Finance Exit Exam Answers. Sene 2015 E.c

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1. After using equipment for five years, its major part that is believed to increase life by 3 years is changed at a cost of Br. 30,000. Which of the following is a correct about the effect of this cost?

- A. Increasing period costs by Br. 30,000
- B. Increasing revenue expenditure by Br 30,000
- C. Increasing general expense by Br. 30,000
- D. Increasing carrying value of the asset by Br. 30,000

The correct Answer is D.

❖ This equipment has a carrying cost or book value of Br 30,000 with in 3 years estimated useful life.

2. ABC Company purchased a piece of equipment on January 1, 2012. The equipment cost is Birr 60,000 and has an estimated life of 8 years and a salvage value of Birr 8,000. What was the depreciation expense for the asset for 2013 under the double-declining-balance method?

- A. Birr 6,562
- B. Birr 15,000
- C. Birr 11,250
- D. Birr 6.500

The correct Answer is C

Double Decaling Balance Method: First let's determine the rate. $\text{Rate} = 1/n * 2 = 1/8 * 2 = 0.25$

Year	Book value	*	rate	=	dep Ex	=	Acc Dep exp	book value
2012	60,000		0.25		15,000		15,000	45,000
2013	45000		0.25		11250		26,250	33750

The Correct Answer is C

3. At the end of June 30,2022, the following items were reported by West Manufacturing Co.:

Finished goods Br. 500,000

Raw materials 200,000

Work in process 100,000

Office supplies bought for use by managers 30,000

Which of the following reporting on statement of financial position is correct?

A. Inventory Br. 800,000 and Office supplies Br. 30,000.

B. Inventory Br. 630,000 and Raw materials Br. 200,000 .

C. Inventory Br. 500,000 and other items Br. 330,000.

D. Inventory Br. 730,000 and Work in process Br. 100,000.

The correct Answer is A .

Total inventory = Raw material + WIP + Finished good inventory
= 500,000 + 200,000 + 100,000
= Br 800,0000 and Office Supplies Br 30,000

4. All of the following are likely to result in a lower dividend, other things the same,
Except:

- A. Statutory restrictions
- B. Liquidity constraints
- C. Debt covenants
- D. Highly diverse ownership

The correct Answer is D

- **A. Statutory restrictions:** These are legal limitations that can prevent a company from paying dividends if certain conditions aren't met. This would likely result in lower dividends.
- **B. Liquidity constraints:** If a company doesn't have enough liquid assets, it might not be able to pay dividends, leading to lower dividends.
- **C. Debt covenants:** These are agreements with lenders that might restrict dividend payments to ensure the company can meet its debt obligations. This would also likely result in lower dividends.
- **D. Highly diverse ownership:** This refers to a situation where ownership is spread across many shareholders. This factor doesn't inherently restrict dividend payments. In fact, it might encourage consistent dividends to satisfy a broad shareholder base.

So, the factor that is least likely to result in a lower dividend is highly diverse ownership.

5. When counting cash on hand, the auditor must exercise control over all cash and other negotiable assets to prevent

A Theft

B. Irregular endorsement

C. Deposits in transit

D. Substitution

The correct Answer is D .

When an auditor is counting cash on hand, they need to ensure that **no substitution of cash or negotiable assets occurs.**

This means preventing any replacement of genuine cash with counterfeit or unauthorized items.

So, The correct Answer is D.

6. Assume General hospital has a current ratio of 0.5. Which of the following actions would improve (increase) this ratio?

- A. Use cash to pay off current liabilities.
- B. Collect some of the current accounts receivable.
- C. Use cash to pay off some long-term debt.
- D. Purchase additional inventory on credit (i.e., accounts payable).
- E. Sell some of the existing inventory at cost (book value).
- F. None of the Above

The correct Answer is F

Current Ratio = $\text{Current Assets} / \text{Current Liabilities}$

So, to increase Current ratio, current assets must be increased or Current liabilities must be decreased.

7. Which of the following is **FALSE** about the difference between management accounting and financial accounting?

- A. Management accounting information is captured and delivered less frequently.
- B. Management accounting information is summarized in different ways for different purposes.
- C. Management accounting is forward looking instead of historical.
- D. Management accounting is not strictly governed by IFRS/GAAP.

The Correct Answer is A.

- A. Management accounting information is captured and delivered less frequently. **This statement is FALSE.** Management accounting information is often captured and delivered more frequently to assist in decision-making processes. 
- B. Management accounting information is summarized in different ways for different purposes. **This statement is TRUE.** Management accounting is tailored to meet the specific needs of management for various purposes. 
- C. Management accounting is forward looking instead of historical. **This statement is TRUE.** Management accounting often focuses on future projections and planning. 
- D. Management accounting is not strictly governed by IFRS/GAAP. This statement is TRUE. Management accounting does not have to adhere to the strict guidelines of IFRS/GAAP. 

Therefore, the FALSE statement is A.

8. Which of the following is not a fraud factor for the revenue recognition process?

- A. Creating of fictitious invoices
- B. Recognition of revenue on shipments that never occurred
- C. Recording advance collections as revenue
- D. Not recording consignment sales revenue

The Correct Answer is D

In the context of revenue recognition, a fraud factor typically involves actions that misrepresent the actual financial situation. Let's analyze each option:

A. Creating of fictitious invoices: This is a fraud factor because it involves recording revenue that doesn't exist. 

B. Recognition of revenue on shipments that never occurred: This is also a fraud factor because it involves recognizing revenue without actual transactions. 

C. Recording advance collections as revenue: This can be a fraud factor if revenue is recognized before it is earned. 

D. Not recording consignment sales revenue: This is not a fraud factor for revenue recognition because it involves underreporting revenue rather than inflating it. 

Therefore, the correct answer is D. Not recording consignment sales revenue.

9. Beginning with an investment in one company's securities, as we add securities of other companies, which type of risk declines?

- A. Non-diversified risk.
- B. Market risk.
- C. Unsystematic risk.
- D. Systematic risk.

The correct Answer is C

When you add securities from different companies to your investment portfolio, you are engaging in diversification. This process primarily reduces unsystematic risk (Option C).

Unsystematic risk is specific to a single company or industry, and by diversifying, you can minimize this risk because the negative performance of one security can be offset by the positive performance of others. 

On the other hand, **systematic risk (Option D)**, also known as market risk, affects the entire market and cannot be eliminated through diversification. 

So, the correct answer is C. Unsystematic risk

10. Which of the following is a reason why a company would expand through a combination, rather than by building new facilities?

- A. A combination might provide cost advantages.
- B. A combination might provide fewer operating delays.
- C. A combination might provide easier access to intangible assets.
- D. All of the above are possible reasons that a company might choose a combination.

The Correct Answer is D.

Explanation

When a company considers expanding, it often evaluates the benefits of combining with another company versus building new facilities.

- A. Cost Advantages:** Combining with another company can lead to economies of scale, reducing costs by sharing resources and infrastructure. 
- B. Fewer Operating Delays:** By combining, a company can avoid the time-consuming process of constructing new facilities and can start operations more quickly. 
- C. Access to Intangible Assets:** A combination can provide access to valuable intangible assets such as brand reputation, patents, or specialized knowledge that are not easily built from scratch. 

So, the correct answer is D.

11. During the year an enterprise fund purchased Birr 230,000 worth of equipment. The equipment was acquired with a cash down payment of Birr 23,000 and a Birr 207,000 loan. What is the net effect of this transaction on the net asset accounts of the enterprise fund?

- A. Invested in capital assets, net of related debt is increased by Birr 23,000.
- B. Invested in capital assets, net of related debt is increased by Birr 230,000.
- C. Invested in capital assets, net of related debt is increased by Birr 207,000.
- D. Invested in capital assets, net of related debt is decreased by Birr 207,000.

The Correct Answer is A. [Explanation](#)

When the enterprise fund purchases equipment worth **Birr 230,000**, it increases the **capital assets by the same amount**. However, since the equipment was acquired with a cash down payment of Birr 23,000 and a loan of Birr 207,000, we need to consider the effect on the net assets.

The net effect on the net asset accounts is calculated as follows:

Invested in capital assets increases by the total cost of the equipment: Birr 230,000.

Related debt increases by the loan amount: Birr 207,000. The net increase in invested in capital assets, **net of related debt is: $230,000 - 207,000 = 23,000$**

Thus, the correct answer is A: Invested in capital assets, net of related debt is increased by Birr 23,000

12. Assume that the sales revenue of ABC Share Company is Birr 12,000,000 during Tax Year ended Sene 30, 2014. Cost of goods sold (determined on the basis of the average cost method) and Expenses were Birr 5,000,000 and Birr 800,000, respectively. The operating expenses comprises of store rent expense of Birr 400,000, a 5% depreciation expense on a not fully depreciated Building with a cost of Birr 2,000,000, a penalty of Birr 50,000, and a donation of Birr 250,000 to the government of FDRE as a contribution to the 'Gebeta Lelimat Project. What is the amount of taxable business profit to be presented on the tax return?

- A. Birr 6,500,000
- B. Birr 6,600,000
- C. Birr 6,200,000
- D. Birr 6,250,000

The Correct Answer is D

Explanation

To find the taxable business profit; we need to calculate the net profit and then adjust it for any non-deductible expenses. Here's how we can do it:

Calculate Gross Profit = Sale – CGS = 12,000,000 – 5,000,000 = 7,000,000

Taxable Business profit (Net Profit) = Gross profit – Operating Expense =		
	7,000,000 -	Rent expense400,000
		Dep Exp -----.-100,000
		Donation250,000
		(750,000)

The Net Profit = 6,250,000 Birr

So, The correct answer is D.

13. On March 31, 2022, Meade Company merged into Steele Corporation. The separate income statements of the two companies for the fiscal year ended March 31, 2022, prior to any journal entries necessary to record the business combination on that date, showed the following net income: Steele, Birr 500,000; Meade, Birr 100,000. Steele's post- merger income statement for the year ended March 31, 2022, shows net income in the amount of

- A. Birr 600,000
- B. Birr 500,000
- C. Birr 470,000
- D. Birr 570,000

The Correct Answer is B

Explanation

The net income for **Steele Corporation** before the merger was Birr 500,000, and for **Meade Company**, it was Birr 100,000. When these two companies merge, their net incomes are combined.

So, the combined net income after the merger would be Birr 600,000. but Steele Corporation net income shows only Birr 500,000

Therefore, the correct answer is B. Birr 500,000.

14. The home office accounts for shipments of merchandise to the branch as sales. The billed price reflects a mark-up equal to 40% of billed price. The branch reported beginning and ending inventories at billed prices of Birr 80,000 and Birr 60,000, respectively. Which of the following statements is **FALSE**?

- A. Working paper elimination entries will reduce combined cost of goods sold by Birr 8,000.
- B. Home office beginning retained earnings is overstated by Birr 32,000.
- C. Unrealized intra-firm profit at the end of the year is Birr 24,000.
- D. The Overvaluation of Branch Inventory account balance at the end of the year is Birr 8,000.

The Correct Answer is D

Explanation

First, we need to understand **the mark-up** and how it affects the **inventory and profits**.

Mark-up Calculation: The mark-up is 40% of the billed price. This means the cost is 60% of the billed price. If the billed price is P , then the cost is $0.6 * P$.

Unrealized Profit: This is the profit **that hasn't been realized** because **the inventory hasn't been sold**. **It's the difference between the billed price and the cost.**

Beg unrealized profit = $80,000 * 0.4 = 32,000$

End unrealized profit = $60,000 * 0.4 = 24,000$

Now, let's evaluate each statement:

- A. Working paper elimination entries will reduce combined cost of goods sold by Birr 8,000. The change in unrealized profit from beginning to end is $32,000 - 24,000 = 8,000$ Birr. This is correct because the elimination entry adjusts for the change in unrealized profit. 
- B. Home office beginning retained earnings is overstated by Birr 32,000. The beginning unrealized profit is indeed Birr 32,000, which means the retained earnings are overstated by this amount. **This is correct.** 
- C. C. Unrealized intra-firm profit at the end of the year is Birr 24,000. We calculated the ending unrealized profit as Birr 24,000. **This is correct.** 
- D. D. The Overvaluation of Branch Inventory account balance at the end of the year is Birr 8,000. 
- E. The overvaluation is the unrealized profit at the end, which is Birr **24,000, not Birr 8,000. This statement is FALSE.**

So, the Correct Answer is D

15. As used in auditing which of the following statement best describes "Assertion" ?

- A. Assertions are the representations of management as to the reliability of the information system.
- B. Assertions are the auditor's findings to be communicated in the audit report.
- C. Assertions are the representations of management as to the fairness of the financial statements.
- D. Assertions are found only in the footnotes to the financial statements.

The Correct Answer is C

Explanation

In the context of auditing, assertions are indeed crucial. They are essentially the representations of management regarding the fairness of the financial statements. This means that management asserts that the financial statements are accurate and comply with accounting standards.

Therefore, the correct answer is C. Assertions are the representations of management as to the fairness of the financial statements.

	Parent Inc. (carrying value in Birr)	Sub Inc. (carrying value in Birr)	Sub Inc. (fair value in Birr)
Cash	180,000	36,000	36,000
Accounts Receivable	100,000	40,000	40,000
Inventory	60,000	24,000	27,000
Plant and Equipment (net)	200,000	80,000	93,000
Goodwill		8,000	
Trademark		12,000	15,000
Total Assets	540,000	200,000	
Current Liabilities	80,000	50,000	50,000
Bonds Payable	320,000	20,000	24,000
Ordinary Shares	90,000	80,000	
Retained Earnings	50,000	50,000	
Total Liabilities and Equity	540,000	200,000	

16. Assuming that Parent Inc acquires 80% of Sub Inc on August 1, 2022 for cash of \$180,000, what would be the amount of goodwill appearing on the Consolidated Balance Sheet on the date of acquisition if the proportionate consolidation method were used?

- A. 72,000 B. 88,000 C. 70,400 D. Nil

The Correct Answer is C

To find the goodwill using the proportionate consolidation method, we need to follow these steps:

1st Determine the Fair Value of the Net Assets of Sub Inc.

$$\text{Fair Value of the Net Assets} = \text{Total Fair Value Assets} - \text{Total Fair Value Liabilities} \\ = 211,000 - 74,000 = 137,000$$

2nd Calculate the Proportionate Share of these net assets acquired by Parent Inc.

$$\text{Proportionate Share of Fair Value Assets} = \text{Fair Net Assets} * \text{Ownership Percentage} = 137,000 * 0.8 = 109,600$$

3rd Calculate Goodwill as the difference between the purchase price and the proportionate share of net assets.

$$\text{Goodwill} = \text{Purchase Price} - \text{Proportionate Share of Fair Assets} \\ 180,000 - 109,600 = \text{Birr } 70,400$$

Therefore, the amount of goodwill appearing on the Consolidated Balance Sheet is \$70,400.

17. Activity-based costing (ABC) can eliminate cost distortions because ABC systems _____.

- A. establish a cause-and-effect relationship with the activities performed
- B. use single cost pool for all overhead costs, thereby enabling simplicity
- C. use a broad average to allocate all overhead costs
- D. never consider interactions between different departments in assigning support costs.

The Correct Answer is A

Explanation

- ✓ **Activity-based costing (ABC)** is designed to provide more accurate cost information by focusing on activities that drive costs.
- ✓ This method helps in identifying the true cost of products or services by establishing a cause-and-effect relationship between costs and activities.

So, the correct answer is: A. establish a cause-and-effect relationship with the activities performed.

18. Which one of the following statements is FALSE about property plant and equipment (PPE)?

- A. Are acquired for use but not for sale under no normal course of business.
- B. Can provide service for more than a year period.
- C. All items of PPE have unlimited life.
- D. They are tangible in nature.

The Correct Answer is C.

Let's analyze each statement about Property, Plant, and Equipment (PPE):

A. Acquired for use but not for sale under the normal course of business.

This is true. PPE is used in operations and not intended for sale.

B. Can provide service for more than a year period - This is true. PPE is typically long-term and provides benefits over multiple years.

C. All items of PPE have unlimited life - This is false. Most PPE items, like machinery and buildings, have a limited useful life due to wear and tear or obsolescence.

D. They are tangible in nature - This is true. PPE consists of physical assets like buildings and machinery.

The FALSE statement is C

19. Which of the following shows the correct sequence of flow of accounting data in accounting records?

- A. Journal-Source document - Occurrence of transaction-Ledger
- B. Ledger-Journal - Source document - Occurrence of transaction
- C. Source document - Journal - Occurrence of transaction - ledger
- D. Occurrence of transaction-Source document - Journal-Ledger

The Correct Answer is D

Explanation

In accounting, the correct sequence of the flow of accounting data is crucial for maintaining accurate records. The sequence typically follows the natural order of events in the accounting process:

- 1. Occurrence of transaction:** This is when the actual financial event takes place.
- 2. Source document:** This is the evidence of the transaction, such as an invoice or receipt.
- 3. Journal:** The transaction is recorded in the journal, which is the book of original entry.
- 4. Ledger:** Finally, the transaction is posted to the ledger, which is the book of final entry.

Based on this sequence, the correct answer is: D. Occurrence of transaction - Source document - Journal - Ledger

20. An analysis of the items and amounts that result in the cash balance reported in the bank statement to differ from the balance of the cash account in the ledger is

- A. Bank statement
- B. Bank analysis
- C. Bank account
- D. Bank reconciliation

The correct Answer is D

Bank reconciliation is the process of **comparing and analyzing** the differences between the cash **balance reported in the bank statement and the cash account in the ledger.**

This helps identify any discrepancies and ensures that the records are accurate.

Part Two Will Continue

Thank You

21. Refer to the following lease amortization schedule. The five payments are made annually starting with the inception of the lease. A \$2,000 bargain purchase option is exercisable at the end of the five-year lease. The asset has an expected economic life of eight years.

Lease Payment	Cash Payment (in birr)	Effective Interest (in birr)	Decrease in Balance (in birr)	Outstanding Balance (in birr)
				34,600
1	8,000	??	??	26,600
2	8,000	2,660	5,340	21,260
3	8,000	2,126	5,874	15,386
4	8,000	1,539	6,461	8,925
5	8,000	??	??	??
6	2,000	182	1,818	0

What is the outstanding balance after payment 5 ?

A. Birr 3818 B. Birr 1818 C. Birr 2182 D. Birr 2000

The Correct Answer is B

Interest Rate= Effective Interest/ Outstanding Balance of Previous Month

$$2660 / 26600 = 10\%$$

Interest payment = Outstanding Amount X Interest Rate

$$= 8925 * 0.10 = 893$$

$$\text{Decrease in balance} = 8000 - 893 = 7107$$

$$\text{Outstanding balance} = 8925 - 7107 = 1818$$

22. Company A and Company B have the same gross profit margin and the same total asset turnover, but company A has a higher return on equity. This may result from:

- A. Company B has more common stock.
- B. Company A has a lower debt ratio.
- C. Company A has lower selling and administrative expenses, resulting in a higher net profit margin.
- D. Company A has lower cost of goods sold, resulting in a higher net profit margin.

The correct Answer is C **Explanation**

Let's understand about $\text{ROE} = \text{Net income} / \text{Equity}$

Given that both companies have the same gross profit margin and total asset turnover, their **operational efficiency is similar**.

Option A suggests Company B has more common stock, which would increase its equity and **potentially lower its ROE**.

Option B suggests Company A has a lower debt ratio, which would typically decrease ROE, not increase it.

Option C suggests Company A has lower selling and administrative expenses, increasing net profit margin and ROE.

Option D suggests Company A has lower cost of goods sold, also increasing net profit margin and ROE.

Both options C and D could lead to a higher net profit margin, but the question asks for a single cause.

Final Answer: Option C is the most direct cause for a higher ROE due to increased net profit margin

23. If you have a portfolio of two risky stocks which turns out to have no diversification. The reason you have no diversification is:

- A. The returns move perfectly with one another.
- B. The returns move perfectly opposite of one another.
- C. The returns are too small.
- D. The returns are completely unrelated to one another

The correct Answer is A

- ☐ **Diversification** reduces risk by combining assets that do not move perfectly together.
- ☐ If two stocks move perfectly with one another, they have a correlation of +1, meaning no diversification.
- ☐ **Final Answer: The correct choice is A. The returns move perfectly with one another.**

24. If the investment property is measured using the fair value model, a gain arising from a change in the fair value of an investment property must be:

- A. Recognized as other comprehensive income
- B. Recognized in the calculation of profit or loss
- C. Ignored
- D. Credit to a revaluation reserve

The correct Answer is B

25. Which of the following is the best theoretical justification for consolidated financial statements?

- A. In form the companies are one entity; in substance they are separate.
- B. In form and substance, the companies are separate.
- C. In form and substance, the companies are one entity.
- D. In form the companies are separate, in substance they one entity.

The correct Answer is D

- ✓ **The purpose of consolidated financial statements** is to present the financial position and results of operations of a parent company and its subsidiaries as if they were a single economic entity.
- ✓ The best theoretical justification for this is when, **in substance**, the companies operate as one entity, even if, in form, they appear separate.
- ✓ This is because the **economic reality is more important than the legal form when preparing consolidated financial statements.**

Therefore, the correct answer is D.

26. Which of the following is likely to be information rather than data?

- A. Customer number
- B. Employee name
- C. Net profit
- D. Sales price

The correct Answer is C

- ✓ **Data** refers to **raw facts and figures without context.**
- ✓ **Information**, on the other hand, **is processed data that has meaning and can be used for decision-making.**
- ✓ Customer number and Employee name are examples of raw data.
- ✓ Sales price is also a piece of raw data.
- ✓ **Net profit is derived from processing various data points (like revenue and expenses) and provides meaningful insight into a company's financial performance. Therefore, it is considered as information.**
- ✓ **So, the answer is C. Net profit**

27. Which of the following is not the role played by National Bank of Ethiopia in the Ethiopian financial system?

- A. National Bank of Ethiopia provide insurance to help ensure the soundness of financial intermediaries
- B. Regular on-site examinations to monitor whether the institution is complying with capital requirements and restrictions on asset holdings
- C. Prints money
- D. National Bank of Ethiopia restrict those who can set up a financial intermediary.

The correct Answer is A

- ✓ Option A: **Providing insurance is typically not a central bank's role.** Central banks usually focus on monetary policy and financial stability, not directly providing insurance.
- ✓ Option B: Conducting regular on-site examinations is a common role for central banks to ensure compliance with regulations.
- ✓ Option C: Printing money is indeed a role of central banks, including the National Bank of Ethiopia.
- ✓ Option D: Restricting who can set up a financial intermediary is a regulatory function that central banks often perform.
- ✓ **Given this analysis, the role that is not typically played by the National Bank of Ethiopia is Option A: providing insurance.**

28. Within the relevant range, the difference between variable costs and fixed costs is:

- A. variable costs per unit fluctuate and fixed costs per unit remain constant.
- B. variable costs per unit are constant and fixed costs per unit fluctuate.
- C. both total variable costs and total fixed costs are constant.
- D. both total variable costs and total fixed costs fluctuate.

The correct Answer is B

- ✓ Variable costs per unit remain constant regardless of production levels.
- ✓ Fixed costs per unit fluctuate as production levels change.
- ✓ Total variable costs change with production, while total fixed costs remain constant.

So, the Final Answer is B. Variable costs per unit are constant and fixed costs per unit fluctuate.

29. On January 1, 20x1, ABC Co. acquired 75% interest in XYZ, Inc. for Birr 2,500,000 cash. ABC Co. incurred transaction costs of birr 250,000 for legal, accounting and consultancy fees in negotiating the business combination. ABC Co. elected to measure NCI at the NCI's proportionate share in XYZ, Inc.'s identifiable net assets. The carrying amounts and fair values of XYZ's assets and liabilities at the acquisition date were as follows:

Assets	Carrying amounts	Fair values
Cash in bank	25,000	25,000
Accounts receivable	425,000	300,000
Inventory	1,300,000	875,000
Equipment – net	2,500,000	2,750,000
Goodwill	250,000	50,000
Total assets	4,500,000	4,000,000
Liabilities		
Payables	1,000,000	1,000,000

How much is the goodwill (gain on a bargain purchase)?

- A. 140,000 B. 287,500 C. 278,500 D. 264,500

The correct Answer is B

$$\text{FV of Net Asset} = 3,950,000 - 1,000,000 = 2,950,000$$

$$\text{NCI} = 2,950,000 \times 0.25 = 737,500$$

$$\text{Consideration transfer} = 2,500,000 + 737,500 = 3,237,500$$

$$3,237,500 - 2,950,000 = 287,500 \text{ So, Goodwill} = 287,500$$

30. The main reason for the auditor to trace shipping documents to pre-numbered sales invoices is to determine that:

- A. All goods ordered by customers were shipped
- B. Shipments to customers were properly billed
- C. All pre-numbered sales invoices were recorded
- D. Recorded sales invoices are not fictitious.

The correct Answer is D

31. Some gains and losses arising on a revaluation of property plant and equipment are to be included in other comprehensive income. When the asset is measured foreign currency, how would exchange differences be treated?

A. As a contra account to be fully disclosed and to show the impact of foreign exchange differences.

B. The differences should be included in the calculation of other comprehensive income.

C. As a reduction or increase in the carry cost of the asset.

D. As an item to be included in income or loss for the year..

The correct Answer is B

✓ According to IAS 21, exchange differences should be recognized in the calculation of other Comprehensive Income.

32. Export Company had a trade account receivable from a foreign customer stated in the local currency of the foreign customer. The trade account receivable for 900, 000 local currency units (LCU) had been restated to Birr 315,000 in Export's June 30, 2005, balance sheet. On July 26/2005, the account receivable was collected in full when the exchange rate was LCU1= Birr 0.33 (1/3.) The journal entry that Export prepares to record the collection of this trade account receivable include:

- A. Credit to Foreign Currency Translation Adjustments, Birr 15,000.
- B. Debit to Foreign Currency Transaction Gains and Losses, Birr 15,000.
- C. Credit to Trade Accounts Receivable Birr 300,000
- D. Debit to Cash, Birr 300,000.

The correct Answer is D

June 30) $315,000 / 900,000 = 0.35$ birr.

July 25) $1/3 = 0.3333333$ birr

$(0.35 - 0.333333) * 900,000 = \mathbf{15000 \text{ Loss.}}$

Cash 300,000

Forex loss 15,000

Accounts Receivable 315,00

33. South Ltd. uses allowance method of accounting for uncollectible. Analysis of long outstanding balance of Br 500,000 expected from customer Z reveals the amount will not be collected because of disappearance of the customer following bankruptcy. The correct journal entry is

- A. Debit Bad debt expense and credit Allowance for uncollectible by Br 500,000
- B. Debit Allowance for uncollectible and credit Accounts Receivable by Br 500,000
- C. Debit Bad debt expense and credit Accounts Receivable by Br 500,000
- D. Debit Allowance for uncollectible and credit Bad debt expense by Br 500,000

The correct Answer is B

Step 1: Bad debt expense500,000

Allowance for uncollectable account500,000

Step 2: Allowance for uncollectable account500,000

AR.....500,000

34. On December 31, 2022, Diamond Company reported net income of Birr 50,000 and sales of Birr 200,000. The company also reported beginning and ending accounts receivable at Birr 20,000 and Birr 25,000, respectively. Diamond will report cash collected from customers in its 2022 statement of cash flows (indirect method) in the amount of?

A. Birr 205,000. B. Birr 0. C. Bir 195,000 D. Birr 245,000.

The correct Answer is B

AR increased by 5000 Birr

$$\begin{aligned}\text{Cash collected from customer} &= \text{sale} + \text{AR} - \text{AR} \\ &= 200000 - 5000 = \mathbf{195,000}\end{aligned}$$

35. Among the following, which one is a tax-deductible expense in the Ethiopian tax system.

A. Insurance Expenses.

B. Damages covered by insurance policy or a contract of indemnity, guarantee, or surety.

C. Depreciation expense on Buildings computed in line with IFRS using the units of production method.

D. An expenditure of a capital nature..

The correct Answer is A

Insurance expenses are generally **not deductible** as they are considered personal or business expenses. 

36. Assume that two companies wish to engage in a Business Combination involving a share exchange. Once the share exchange is consummated, each shareholder group will have an equal number of voting shares. Which of the following statement best describes the course of action that must be taken under these circumstances?

A. The Boards of Directors of both companies must enter into discussions to agree on which party will be the acquirer

B. No acquirer can be identified since no shareholder group has majority voting control so the share exchange must be annulled...

C. Other factors must be examined to determine which shareholder group is more dominant

D. The company with the largest net assets (at fair market value) is deemed to be the acquirer.

The correct Answer is C

37. The following cost information about direct material-chemical, is taken from Kokeb textile firm:

Chemicals on hand as of January 1, 2020,Birr 100,000

Chemicals on hand as of January 31, 2020...80,000

Cost of Chemicals issued to factory during January400,000

Excess Chemicals returned from factory

shop to store during January..... 30,000

What is the **cost of direct materials purchased** during the period?

A. Birr 400,000 B. Birr 230,000 C. Birr 350,000 D. Birr 500.000

The correct Answer is C

Direct Material Used = Beg. DM +Direct material Purchase –Ending DM

DMP= DMU+EDM-BDM

= 370,000 + 80,000 – 100,000 = Birr 350,000

38. It Entity IQ had a plantation forest that is likely to be harvested and sold in 30 years, in which way should the income be accounted for?

A. Income should be measured annually and reported using a fair value that recognizes and measures biological growth.

B. The plantation forest should be valued every five years and the increase in value should be shown in the statement of recognized gains and losses.

C. No income should be reported until first harvest and sale in 30 years.

D. The eventual sale proceeds should be estimated and matched to the profit and loss account over the 30- year period.

The correct Answer is A

When dealing with a plantation forest **that will be harvested in the future**, the accounting treatment should reflect the **biological growth** and changes in value over time.

Option A suggests measuring income annually using fair value to recognize biological growth.

39. A company uses perpetual inventory system. An inventory record card shows the following details.

January 1, inventory 5000 at a cost of 10

January 15, sales 1000 at Birr 25

February 10, purchase 3000 units at a cost Birr 20

Sales on June 3 is 6000 units at Birr 25

In a perpetual inventory system, what is the Cost of Goods Sold as of June 3 sales connection if the company used FIFO ?

A. 80,000 B. 75,000 C. 60,000 D. 90,000

The correct Answer is A

Step 1: Determine the cost of goods sold (COGS) using FIFO. **Start with the oldest inventory for sales.**

Step 2: January 15 sale: **1000 units at Birr 10 each.** COGS = **Birr 10,000**

Step 3: June 3 sale: 6000 units. **Use remaining 4000 units from January 1 at Birr 10 each.** COGS = Birr 40,000 and **Use 2000 units from February 10 purchase at Birr 20 each.** COGS = Birr 40,000.

Step 5: Total COGS for June 3 sale = Birr 40,000 + birr 40,000 = Birr 80,000

So, the correct Answer is A

40. You want to go to USA 5 years from now for your MSc degree, and you can save Birr 3,100 per year, beginning one year from today. You plan to deposit the funds in one of the commercial banks that you think will pay 8.5% interest per year. Under these conditions, how much would you have just after you make the 5th deposit, 5 years from now?

A. Birr 19,287

B. Birr 21,264

C. Birr 20,251

D. Birr 18,369

The correct Answer is D

First, We must be identify the annual savings, interest rate, and number of years.

Savings: Birr 3,100

Interest rate: 8.5%

Time: 5 years

Step 2: Use the future value of an annuity formula

$$FV = P \frac{(1 + r)^n - 1}{r} = 3100 \frac{(1 + 0.085)^5 - 1}{0.085} = \text{Birr } 18,369$$

41. Which of the following accounts typically would be used by an Agency Fund?

A. Revenue

B. Bonds payable

C. Cash

D. Notes receivable

The correct Answer is C

Agency funds are used to account for assets held by the government as an agent for individuals, private organizations, other governments, and/or other funds.

42. In a Fire & Water partnership, net income and net loss is shared equally. On the date of liquidation of their partnership, records showed the following balances.

Cash Birr.....	200,000
Non cash assets.....	400,000
Accounts payable.....	100,000
Fire's capital.....	300,000
Water's capital.....	200,000

If non cash assets were sold at Br 500,000, which of the following statement is correct?

- A. The amount of distributed to Water equals Br200,000
- B. The amount of cash available to partners equal Br700,000
- C. The amount of cash distributed to Fire equals Br 350.000
- D. The amount of cash distributed to Fire equals Br 300,000

	Cash	Noncash	Liability	Fire Capital	Water Capital
Balance	200000	400,000	100000	300000	200000
Realization	+ 500000	-400000		+50000	+50000
Balance	700000	0	100000	350000	250000
Payment Liability	-100,000		-100,000		
Balance	600,000	0	0	350,000	250000
Distribution	-600000			-350,000	-250000
	0	0	0	0	0

The Correct Answer is C

43. Joint control exists where:

- A. The decisions in areas essential to the goals of the joint arrangement do not require the consent of the parties.
- B. One party alone has power to control the strategic operating decisions of the joint arrangement.
- C. No single party is in a position to control the activity unilaterally.
- D. No one party may be appointed as the manager of the joint arrangement.

The Correct Answer is C

Joint control exists when no single party can control the activity unilaterally. This means that decisions require the agreement of all parties involved.

44. Which one of the following is NOT the duty of the Board of Directors of a Share Company?

- A. Controlling the day-to-day activities of the operations
- B. Authorizing contracts & setting executive salaries
- C. Declaration of dividend
- D. Arranging major loans with banks

The Correct Answer is A

45. Under which of the following set of circumstances might the auditors disclaim an opinion?

- A. The financial statements contain a departure from accepted accounting principles, with a material effect
- B. When the portion of the financial statement audited by the other audit firm is material in relation to the whole.
- C. There are significant scope limitations on the audit
- D. The method of application of accounting principles is not consistent.

The Correct Answer is C

An auditor might **disclaim an opinion** when there are **significant scope limitations** on the audit. This means that the auditor **was unable to obtain sufficient appropriate audit evidence** to form an opinion on the financial statements.

46. Permitting only designated personnel to handle cash receipts is an application of the principle of:

- A. Independent internal verification
- B. Establishment of responsibility
- C. Segregation of duties
- D. Human resource controls

The Correct Answer is B

47. The process of turning money that is derived from criminal activities-dirty money-into money which appears to have been legitimately acquired and which can therefore be more easily invested and spent is called:

- A. Market Abuse
- B. Money laundering
- C. Insider Trading
- D. Market manipulation

The Correct Answer is B

48. A purpose of standard costing is to

- A. Eliminate the need to account for year-end under-applied or over-applied manufacturing overhead.
- B. Simplify costing procedures.
- C. Eliminate the need for actual costing for external reporting purposes.
- D. Replace budgets and budgeting

The Correct Answer is B

49. Which one of the following is not a role played by an investment bank?

- A. Buying the securities from the issuer and then reselling them in the market.
- B. Advising the issuer on the terms and the timing of the offering.
- C. Distributing newly issued securities to the public.
- D. Investing in a diversified portfolio on behalf of its shareholders.

The Correct Answer is D

50. All of the following are characteristics of tax except:

- A. Certain taxes are imposed to achieve specific objectives such as reducing consumption of luxurious goods
- B. tax is a legal collection that can be levied only by the federal government not by any one else including regional government.
- C. Tax is a compulsory contribution by the taxpayers to the government.
- D. For the payment of tax, there is no direct return to the taxpayers.

The Correct Answer is B

51. Which of the following statement is FALSE regarding the objective of financial reporting by public sector

A. The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of GPFRS for decision-making purposes.

B. The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of GPFRS for accountability purposes.

C. The identification of accountability as an objective of financial reporting reflects that most governments and public sector entities have a profit seeking rather than service delivery objective

D. The identification of accountability as an objective of financial reporting reflects the fact that most governments and public sector entities have their funding mainly through taxation, but also transfers from other tiers of government.

The Correct Answer is C

52. Which of the following is correct, if MAMA Share Company issued 1,000 shares of Birr 100 par value ordinary shares receiving a total amount of Birr 120,000?

- A. Retained earnings account is credited for Birr 20,000
- B. Ordinary share capital account is credited for Birr 120,000
- C. The transaction results in a gain of Birr 20,000
- D. Total shareholders equity increases by Birr 120,000

The Correct Answer is D

The journal entries would be

Cash	120,000
Ordinary share(100*1000)	100,000
Share premium..	20,000

53. Which of the following is correct?

- A. Analytical review is sufficient evidence for a reasonable assurance audit
- B. Limited assurance audit opinion is worded negatively
- C. Auditors apply professional judgment only on deciding on the type of opinion
- D. Limited assurance audit is acceptable for organizations of all size

The Correct Answer is B

54.If businesses are "governed by the marketplace, governments are governed by

- A. State constitutions
- B. Budgets
- C. Legislative bodies
- D. Taxes

The correct Answer is B

55. In making such decisions, products should be ranked based on

- A. contribution margin per unit of the constraining resource
- B. selling price per unit
- C. Contribution margin per unit
- D. unit sales volume

The Correct Answer is A

56. Auditors basically accumulate evidence to

- A. Reach a conclusion about the fairness of the financial statements
- B. Defend themselves in the event of a court case
- C. Satisfy the requirements of code of ethical conduct
- D. Determine if the financial statements are correct.

The correct Answer is A

57. ABC Company has only 25,000 hours of machine time each month to manufacture its two products. Product X has a unit contribution margin of Birr 50, and Product Y has a unit contribution margin of Birr 64. Product X requires 5 hour of machine time, and Product Y requires 8 hours of machine time. If ABC Company wants to dedicate 80% of machine time to the product that will provide the most income, the company will have a total contribution marge

- A. Birr 210,000
- B. Birr 200,000
- C. Birr 240,000
- D. Birr 250,000

The Correct Answer is C

Product X		Product Y
CM	Birr 50	Birr 64
Hour	5	8
CM/H	(50/5) 10Birr/h	(64/8) 8 Birr/h
25000*0.8= 20000 h		
X= 20000H*10Birr = 200,000		Y= 5000*8Birr = 4000
Total CM 240,000		

58. Which of the following is FALSE about short-term financing

- A. Short-term credit agreements are generally more restrictive than long-term credit agreements
- B. If funds are needed in a hurry, the firm should look to the short-term markets.
- C. If a firm thinks its need for funds will diminish in the near future, it should choose short-term debt.
- D. Interest costs at the time the funds are obtained will be lower if the firm borrows on a short-term rather than a long-term basis.

The Correct Answer is A

59. Aster is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 4,000. During Tir 2015 she worked on Public holiday for 10 hours. She has a position allowance of Birr 1000.

Aster is a member of the saving and credit association of the organization in which she works and decided to save 10% of her salary. She is expected to work 160 hours per month and she worked accordingly.

What is the amount of overtime related to Aster's payment?

A. Birr 950

B. Birr 781.25

C. Birr 500

D. Birr 625

The Correct Answer is D

Over time = $BS / N_{wh} * \text{over time Rate} * \text{over time Hour worked}$
 $= 4000 / 160 * 2.5 * 10 = \mathbf{625 \text{ Birr}}$

60. Yene Company purchased land containing an estimated 1,000,000 tons of ore for a cost of Birr 10,500,000. The land without the ore is estimated to be worth Bir 500,000. During its first year of operation, the company mined and sold 300,000 tons of ore. **What is the amount of depletion expense that Yene Company should record for the year?**

- A. Birr 7,000,000
- B. Birr 3,150,000
- C. Birr 10,000,000
- D. Birr 3, 000.000

The Correct Answer is D

$$\text{Depletion Expense} = \frac{\text{Cost} - \text{SV}}{\text{Estimated life}} = \frac{10,000,0000 - 0}{1,000,000} = \text{Birr 10 per ton}$$

$$300,000 * 10 = 3,000,000$$

Depletion Expense 3,000,00

Acc Depletion expense3,000,000

61. Which of the following is **FALSE** about public finance?

- A. Public finance deals with the wants and the satisfaction of households and firms.
- B. Public finance is the study of income and the expenditure of the government.
- C. Fiscal operations and fiscal policies are integral part of public finance.
- D. Public finance aims at maximizing social welfare or social benefit by efficient use of public goods.

The Correct Answer is A

B/c public finance primarily focuses on **the government's role in the economy**, not directly on households and firms. It involves the allocation of resources to meet public needs and services.

62. Bonds that are sold in a foreign country and are denominated in the country's currency in which they are sold are known as

- a. Country bonds.
- b. Foreign bonds.
- c. Equity bonds:
- d. Eurobonds

The correct Answer is B

63. For a typical firm, which of the following sequences is correct? All rates are after taxes, and assume that the firm operates at its target capital structure. Note: R_e is cost of new equity while R_s is cost of retained earnings.

A. $R_s > R_e > R_d > WACC$

B. $WACC > R_d > R_s > R_e$.

C. $R_e > R_s > WACC > R_d$.

D. $R_d > R_e > R_s > WACC$

The Correct Answer is C

64. Which of the following is the common characteristics of all financial markets:

A. It allows common stock to be traded.

B. It allows loans to be made.

C. It channels funds from lenders-savers to borrowers-spenders.

D. It determines the level of interest rates.

The correct Answer is C

65. An entity grants 1,000 share options to each of its five directors on July 1, 2014. The options vest on June 30, 2018. The fair value of each option on July 1, 2014, is Birr 5, and it is anticipated that all of the share options will vest on June 30, 2018. **What will be the accounting entry in the financial statements for the year ended June 30, 2015?**

A. Increase equity Birr 6,250, increase in expense statement of comprehensive income Birr 6,250.

B. Increase equity Birr 5,000, increase in expense statement of comprehensive income Birr 5,000

C. Increase equity Birr 25,000, increase in expense statement of comprehensive income Birr 25,000.

D. Increase equity zero, increase in expense statement of comprehensive income zero.

The Correct Answer is C

$$1000 * 5 * 5 * 1/4 = 6250$$

66. Which of the following statements is **FALSE** regarding the definition of a fund?

A.A fund is an accounting entity that is used for one year only and each year a new set of funds must be established.

B.A fund is a fiscal entity used to account for a subset of an organization's resources that is to be used for a specific purpose.

C.A fund has a self-encompassing, self-balancing accounting equation.

D.A fund is an accounting entity for which financial statements can be prepared.

The Correct Answer is A

67. A Company has cash in bank of Birr 20,000, restricted cash in a separate account of Birr 6,000, and a bank overdraft in an account at another bank of Birr 2,000. The company should report cash of

A.Birr 26,000 B. Birr 18,000 C. Birr 20,000 D. Birr 24,000

The Correct Answer is B

Cash in Bank 20,000

Bank Overdraft (2,000)

Balance To Be Reported 18,000

68. Which of the following statements is most consistent with efficient inventory management? The firm has

- A. Relatively low days sales outstanding (DSO).
- B. Relatively high current ratio
- C. Below average inventory turnover ratio,
- D. Low incidence of production schedule.

The Correct Answer is D

Efficient inventory management would result in low wastage of raw materials and will also ensure sufficient stock of inventory at the right time for use in production. This would in turn reduce the possibility of **production schedule disruptions**.

69. Which one of the following is FALSE?

- A. The risk of material misstatement is a function of inherent and control risk
- B. A financial statement that contain immaterial misstatement is not considered to show true and fair view
- C. Knowledge about the client's industry is an essential factor for a successful audit
- D. Audit planning can keep audit costs reasonable.

The Correct Answer is B

70. Which of the following is not a function of a financial system:

- A. Investment function
- B. Risk elimination function
- C. Payment function
- D. Saving function

The Correct Answer is B

Risk Management Function: Helps in managing and mitigating risks, but not eliminating them entirely. ✗

71. The fair value of an asset at initial recognition is

- A. The price paid to acquire the asset.
- B. The book value of the asset acquired.
- C. The price paid to transfer or sell the asset.
- D. The price paid to acquire the asset less transaction costs.

The Correct Answer is A

72. The joint arrangement is not structured through a separate vehicle, the arrangement is classified as a

- A. Joint venture
- B. Joint vehicle.
- C. Joint structure
- D. Joint operation

The Correct Answer is D

This is because a **joint operation** involves parties that have rights to the assets and obligations for the liabilities relating to the arrangement, without forming a separate entity. ✖

73. Which of the following financial intermediaries is not a depository institution?

- A. A finance company
- B. A savings and loan association
- C. A commercial bank
- D. A credit union

The Correct Answer is A

A finance company is an organization that makes loans to individuals and businesses. Unlike a bank, a finance company does not receive cash deposits from clients, nor does it provide some other services common to banks, such as checking accounts.

74. Which one of the following statements is **FALSE** about the tasks involved in accounting system installation and revision?

- A. Problems on existing system are identified on system analysis stage rather than system design stage
- B. Data needs should be identified at system analysis stage
- C. New systems should be designed based on feedback from system implementation stage
- D. In both new system installation and revising existing system, analysis should precede system design.

The Correct Answer is C

75. The tax base of an asset is the amount which is attributable to that asset for tax purposes. If the tax base of an asset is less than its carrying amount, this is an evidence of:

- A. A deductible temporary difference
- B. A taxable permanent difference
- C. A taxable temporary difference
- D. A deductible permanent difference

The Correct Answer is C

76. Which of the following ethical principles requires the auditor to be honest and straightforward in all professional and business relationships?

A. Integrity

B. Professional behavior

A. Professional competence and due care

B. Objectivity

The Correct Answer is A

Integrity is all about being truthful and transparent

Professional Behavior: This principle involves complying with relevant laws and regulations and avoiding actions that discredit the profession.

The principle of professional competence and due care imposes To maintain professional knowledge and skill at the level required to ensure that clients or employers receive competent professional service.

The principle of objectivity imposes an obligation on all professional accountants not to compromise their professional or business judgment because of bias, conflict of interest or the undue influence of others.

77. ABC furniture produces items based on customer's order. It uses job order system with normal costing. In March 2022, the cost sheet for Job No. 125 showed the following data:

Predetermined overhead rate... Birr 25 per machine hour.

Direct materials used.....8000 Birr

Direct labour rate per hour.....19 birr

Machine time used..30 hours.

Direct labour hours worked.....20 H

What is the total cost of Job No. 125 for March under normal costing?

A. Birr 2,380

B. Birr 9,130

C. Birr 8,750

D. Birr 10,275

The correct Answer is B

DM Cost8,000

DL Cost (19×20).....380

Overhead cost (30×25).....750

Total cost 9130

78. Robba Corporation manufactured 30,000 ice chests during September. The overhead cost-allocation base is Birr per machine-hour. The following variable overhead data pertain to September.

	Actual	Budgeted
	30,000-unit	24,000 unit
Machine hour	15,000 h	10,800 h
Variable overhead /mh	Birr 11.00	Birr 11.25

What is the variable overhead spending variance?

- A. Birr 16.875 unfavourable
- B. Birr 13,125 unfavourable
- C. Birr 3,750 favourable
- D. Birr 30,375-unfavourable

The correct Answer is C

variable overhead spending variance

= (Budgeted. rate – Actual rate) AH

= (11.25- 11) *15000

= 3750 F

79. Which of the following intangible assets could not be sold by a business to raise needed cash for a capital project?

- A. Copyright.
- B. Trade name.
- C. Patent.
- D. Goodwill

The correct Answer is D

Goodwill represents the business's reputation and customer relationships. It cannot be sold separately from the business.

80. If accrued Utility expense of Br 5,000 is not recorded, which of the following is correct?

- A. Expense will be overstated
- B. Liability will be understated
- C. Owner's equity be will understated
- D. Net income will be understated

The correct Answer is B

Utility Expense5000

Accrued payable5000

Correcting Entries

81. According to the IASB Framework, the two criteria required for incorporating items into the income statement or statement of financial position are that:

- A. It satisfies the criteria of capital maintenance.
- B. It meets the requirements of comparability and consistency.
- C. It meets the definition of an element and can be measured reliably.
- D. It meets the definition of relevance and faithful representation.

The correct Answer is C

Goodwill represents the business's reputation and customer relationships. It cannot be sold separately from the business.

82. When searching for unrecorded liabilities at year-end, the focus of the auditor will be on checking

- A. Cash receipts from related parties recorded before year-end
- B. Creditors whose accounts appear on a subsidiary trial balance of accounts payable
- C. Cash payments recorded after the balance sheet date
- D. Invoices for goods purchased after year-end

The correct Answer is C

- 83.** The main purpose of accounting is
- A. to provide financial information to users
 - B. to accumulate and determine cost
 - C. to prove the equality of debits and credit
 - D. to record and post transactions.

The correct Answer is A

84. All of the following are part of tests of control for the occurrence assertion in the acquisition & payment cycle Except

- A. Tracing a sample of goods receiving note to entries on purchases journal
- B. Examine payment documents for approval
- C. Inspection of purchase order evidencing authorization
- D. Observation of existence of proper segregation of duties

The correct Answer is D

Observation of existence of proper segregation of duties - This is more about internal control effectiveness and preventing fraud, rather than directly verifying occurrence.

85. Which of the following should not be included in the physical inventory of a company?

- A. Goods in transit, bought from another company with FOB shipping point term
- B. Goods held on consignment from another company
- C. Goods shipped on consignment to another company
- D. Goods in process

The correct Answer is B

86. Which of the following is FALSE about auditing?

- A. at involves the task of recording business transactions
- B. It involves the task evaluations of evidences
- C. involves checking the information with established criteria
- D. It involves communicating results to users.

The correct Answer is A

87. A journal entry debiting Cash in Transit and crediting Investment in Branch is required for.

A. The home office to record the mailing of a check by the branch on the last day of the accounting period.

B. The home office to record the mailing of a check to the branch early in the accounting period.

C. The branch to record the mailing of a check to the home office on the last day of the accounting period.

D. The branch to record the mailing of a check to the home office early in the accounting period.

The correct Answer is A

88. The investment category for which the investor's "positive intent and ability to hold" is important is

A. Securities reported under the equity method.

B. Trading securities.

C. Securities available-for-sale.

D. Securities classified as held-to-maturity.

The correct Answer is D

89. Which one of the following would tend to favor a low-dividend pay-out?

- A. Elimination of the tax deferral on capital gains
- B. Investors' desire for a high-dividend yield
- C. Higher tax rates on capital gains than on dividend income
- D. High flotation cost for equity issues

The correct Answer is D

90. Under a job-order costing system, the dollar amount transferred from Work in Process to Finished Goods is the sum of the costs charged to all jobs:

- A. started in process during the period.
- B. in process during the period.
- C. completed and sold during the period.
- D. completed during the period.

The correct Answer is D

91. Cost-volume-profit analysis assumes all of the following **except**

- A. total variable costs remain the same over the relevant range
- B. all costs are variable or fixed
- C. total fixed costs remain the same over the relevant range
- D. units manufactured equal units sold

The correct Answer is A

92. Which of the following is **NOT** a **reason** the retail inventory method is used widely?

- A. To defer income tax liability.
- B. As a control measure in determining inventory shortages.
- C. To permit the computation of net income without a physical count of inventory
- D. For insurance information.

The correct Answer is A

93. Which of the following is **FALSE** about cost allocation methods?

- A. The dual-rate method provides better information for making decisions
- B. The single-rate method aggregates fixed and variable costs and allocates them to objects using a single allocation base and rate
- C. The dual-rate method, groups costs into separate variable cost and fixed cost pools and use a single cost- allocation base and rate.
- D. The single-rate method is relatively simple to apply

The correct Answer is C

94. The use of statistical sampling technique enables the auditor to:

- A. Eliminate the need for judgmental decisions
- B. Quantify sampling risk
- C. Select a perfectly representative sample
- D. Be more subjective in evaluation of sample results

The correct Answer is B

95. Which of the following is FALSE in connection to job order costing system?

- A. Work in process is credited for the transfer of completed items to Finished Goods Inventory
- B. Finished goods is debited for goods completed & sold during the period
- C. In normal costing method, work in process is debited factory overhead applied
- D. Finished goods is credited for cost of goods shipped to customers

The correct Answer is B

96. As a general rule, debt service expenditures in a Debt Service Fund are recognized

- A. when the debt service payment is due
- B. when resources to be used for the repayment are made available to a Debt Service Fund
- C. in accordance with the requirements of the original bond order that specifies the basis of expenditure recognition
- D. when due for principal repayments but on an accrual basis for interest

The correct Answer is A

97. Which of the following is not considered as one of the basic questions of corporate finance?

- A. How much inventory should the firm sale in a period?
- B. How can the firm raise cash for required capital expenditures?
- C. What long-lived assets should the firm invest in?
- D. How should the short-term operating cash flows be managed?

The correct Answer is A

In corporate finance, the basic questions typically revolve around:

- 1. Investment Decisions:** What long-lived assets should the firm invest in
- 2. Financing Decisions:** How can the firm raise cash for required capital expenditures?
- 3. Working Capital Management:** How should the short-term operating cash flows be managed?
- 4. The question about inventory sales (Option A)** is more related to operational management rather than a fundamental question of corporate finance.

98. The risk structure of interest rates is

- A. The relationship among interest rates of different bonds with the same maturity.
- B. The relationship among interest rates on bonds with different maturities.
- C. The relationship among the term to maturity of different bonds.
- D. The structure of how interest rates move over time

The correct Answer is A

The risk structure of interest rates explains why bonds of the same maturity but issued by different economic entities have different yields (interest rates).

99. Which one of the following is the theory that a firm should borrow up to the point where the additional tax benefit from an extra dollar of debt equals the additional costs associated with financial distress from that additional debt?

- A. M&M Proposition II, with taxes
- B. Static theory of capital structure
- C. M&M Proposition I, without taxes
- D. M&M Proposition I, with taxes

The correct Answer is B

100. Feb 7, 2023 — Project B requires an investment of birr 750000 which will give a return of first year birr 250000, 2nd year through fourth year birr 300000, and fifth year birr 100000. if RRR 12% WHAT IS THE NPV?

A. 543,331.29

B. 435133.92

C. 534331.23

D. 324,533.20

The correct Answer is A

$$NPV = \frac{Cash\ Flow_1}{(1+r)^1} + \frac{Cash\ Flow_2}{(1+r)^2} + \frac{Cash\ Flow_n}{(1+r)^n} - Initial\ Investment$$

$$NPV = \frac{250,000}{(1 + 0.12)^1} + \frac{300,000}{(1 + 0.12)^2} + \frac{300,000}{(1 + 0.12)^3} + \frac{300,000}{(1 + 0.12)^4} + \frac{100,000}{(1 + 0.12)^5} - 750,000$$

= Birr 543,331.29

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Thank you

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